

Form 1040 U.S. Individual Income Tax Return 2025 OMB No. 1545-0074

Filing Status: **Married filing jointly**

Your first name and last name Earl R. Castellano	Your social security number XXX-XX-9032
Spouse's name Lorraine M. Castellano	Spouse's SSN XXX-XX-7741
Home address 418 Willow Bend Road, Scranton, PA 18505	Digital assets: did you receive/sell/exchange? No

Dependents: **Dylan T. Reyes** (stepchild, SSN XXX-XX-3318) — Child Tax Credit: X

#	Description	Amount
1a	Total amount from Form(s) W-2, box 1	68,160.00
2a	Tax-exempt interest	0.00
2b	Taxable interest (incl. \$400 muni — Earl)	1,250.00
3a	Qualified dividends	0.00
3b	Ordinary dividends	2,400.00
4a	IRA distributions	24,000.00
4b	Taxable amount	24,000.00
7	Capital gain (from Schedule D)	1,500.00
9	Total income	97,310.00
10	Adjustments to income (Schedule 1, line 25)	0.00
11	Adjusted gross income	97,310.00
12	Standard deduction (MFJ)	31,500.00
13	Qualified business income deduction	0.00
14	Add lines 12 and 13	31,500.00
15	Taxable income	65,810.00

Tax and Payments

#	Description	Amount
16	Tax (see instructions)	7,420.00
17	Amount from Schedule 2, line 3	0.00
18	Add lines 16 and 17	7,420.00
19	Child tax credit / credit for other dependents (Sch 8812)	2,000.00
20	Amount from Schedule 3, line 8	0.00
21	Add lines 19 and 20	2,000.00
22	Subtract line 21 from line 18	5,420.00
23	Other taxes, from Schedule 2, line 21	2,400.00
24	TOTAL TAX	7,820.00
25a	Federal income tax withheld from Form(s) W-2	5,200.00
25b	Federal income tax withheld from Form(s) 1099	2,400.00
25d	Total withholding	7,600.00
33	Total payments	7,600.00
37	AMOUNT YOU OWE (line 24 – line 33)	220.00

Paid Preparer Use Only: **Self-Prepared** — Sign Here: _____ Date: _____ (DRAFT — not yet filed)

Schedule 1 (Form 1040) — Additional Income and Adjustments to Income (2025)

#	Description	Amount
11	HSA deduction (Form 8889)	0.00
13	Health savings account deduction	0.00
25	Total adjustments to income	0.00

(Earl's note: I took the standard deduction so I figured the HSA money doesn't help me. Left this blank.)

Schedule 2 (Form 1040) — Additional Taxes (2025)

#	Description	Amount
8	Additional tax on early distributions (Form 5329, Part I)	2,400.00
21	Total other taxes	2,400.00

Form 5329, Part I (as Earl filled it):

Line	Description	Amount
1	Early distributions includible in income	24,000.00
2	Distributions not subject to additional tax (exception no. ____)	0.00
3	Amount subject to additional tax (line 1 – line 2)	24,000.00
4	Additional tax. Multiply line 3 by 10%	2,400.00

(Earl's note: 10% of the whole \$24,000. Same garbage penalty as last time. I HATE this form.)

Schedule B (Form 1040) — Interest and Ordinary Dividends (2025)

Part I — Interest

Payer	Amount
Cornerstone Brokerage & Trust — cash-sweep interest	212.00
Cornerstone Brokerage & Trust — cash-sweep interest	638.00
Cornerstone Brokerage & Trust — municipal bond interest	400.00
Line 2 — Subtotal	1,250.00
Line 4 — Total interest (Earl included muni)	1,250.00

Part II — Ordinary Dividends

Payer	Amount
Schwab US Dividend Equity ETF (SCHD)	1,340.00
Vanguard Total Stock Market ETF (VTI)	460.00
Realty Income Corp (O)	500.00
Apple Inc. (AAPL)	100.00
Line 6 — Total ordinary dividends	2,400.00

Schedule D / Form 8949 — Capital Gains and Losses

Description	Proceeds	Cost basis	Gain/(loss)
30 sh VTI (long-term, covered)	7,980.00	6,480.00	1,500.00
Line 16 — Net capital gain (to Form 1040, line 7)	7,980.00	6,480.00	1,500.00

Schedule 8812 — Credits for Qualifying Children (2025)

Line	Description	Amount
1	Number of qualifying children under age 17	1
4	Qualifying children × \$2,000	2,000.00
12	Child tax credit (to Form 1040, line 19)	2,000.00

Self-preparer worksheet notes

Wages 68,160 + interest 1,250 + dividends 2,400 + IRA 24,000 + cap gain 1,500 = 97,310. Minus standard deduction 31,500 = 65,810 taxable. Tax from brackets = 7,420. Minus child credit 2,000 = 5,420. Plus 10% penalty on the IRA = 2,400. Total 7,820. Withheld 7,600. I owe 220. Unbelievable.

My bracket math (taxable 65,810)

Bracket	Range taxed	Rate	Tax
10%	0 – 23,850	10%	2,385.00
12%	23,850 – 65,810 (41,960)	12%	5,035.20
Total tax on 65,810			7,420.20

My income items

Item	Amount
Wages	68,160.00
Interest (incl. muni)	1,250.00
Ordinary dividends	2,400.00
IRA distribution	24,000.00
Capital gain	1,500.00
Total income	97,310.00

Schedule 3 (Form 1040) — Additional Credits and Payments (2025)

Line	Description	Amount
1	Foreign tax credit	0.00
6	Other nonrefundable credits	0.00
8	Total other nonrefundable credits (to Form 1040, line 20)	0.00
11	Excess social security tax withheld	0.00
13	Total other payments and refundable credits	0.00

(Earl left this schedule blank.)

Qualified Dividends and Capital Gain Tax Worksheet — Line 16

This worksheet figures tax at the preferential 0%/15%/20% rates on qualified dividends and net long-term capital gain. For married filing jointly, the 0% rate applies until taxable income exceeds \$96,700 for 2025.

Line	Description	Amount
1	Taxable income (Form 1040, line 15)	_____
2	Qualified dividends (Form 1040, line 3a)	_____
3	Net long-term capital gain	_____
8	Amount taxed at 0%	_____
24	Tax on all taxable income	_____

(Earl's note: skipped this — I just used the tax brackets on the whole amount. Dividends are dividends.)